

Breaking into PM - Assignment 1

Summary of the problem statement:

The upskill edtech industry is huge in India - TAM of \$30B

There are over **500 Billion** working professionals in India and students join the workforce every year. The internet penetration in India has grown substantially and now over 560 million people have access to the internet.

Edureka is an edtech company and has grown substantially since 2011. However, it has been facing challenges to grow its business in spite of more leads coming to its website via different channels.

Edureka does marketing on various forums such as Youtube, Website, Google ads etc.

Edureka used to get 30K leads 6 months back. It gets over 50K leads currently but revenue is flat at 1M MRR.

Competition: Edureka was the first mover in space. However, over the years, more players have entered the market, realizing that the industry is huge and with the internet penetration growing in India. Major competitors in the space are - Upgrad, Coursera, Udemy, Simplilearn etc

Goal: Grow the certification business from 1M MRR to 2M MRR in the next 6 months

Problem statement:

The MRR flat in spite of more leads coming to the platform. The lead conversion rate has dropped from 5% to 3% in the past 6 months.

There are two ways in which the MRR rate can be increased on the Edureka platform

1. *Increase the conversion rate of users coming on the website.* Assuming that all new users will on average pay as per the old users, if we can increase the lead conversion to 5% or more then the MRR will increase to 2MRR.
In this approach, Edureka would have to keep converting the leads to increase the paying users on the platform. This approach is not sustainable for the long term to grow the business in a healthy manner.
2. *Edureka can improve the MRR by improving the user experience, adding more value for the user so that the users that are already on the platform* (current or old users who have availed the Edureka courses) keep buying courses from Edureka, thereby increasing the Lifetime values of the customers. This growth is more sustainable than the first approach and also profitable in the long term as the customer acquisition cost is incurred only one time.

Solution structure:

There can be a few approaches to improve the MRR for Edureka.

1. **Improve the sales process:** Currently, the enrollment process is dependent on a sales rep for the conversion of a lead. This approach has some limitations such as the user not interested in talking to a sales rep, bad experience with a sales rep, user hesitant to provide payment option in the form of a link etc.

There are a few ways in which we can take to improve the sales process

- a. Improve the training for the sales rep for them to convenience the user to buy the course. However, this approach is time-consuming, requires investment in training and hence may have a low ROI

Metric to track -

Rating by customer given after every sales demo.

% of customers converting to customers from leads after the sales demo

- b. Improve the user experience on Edureka's website and reduce friction for him to buy the course.

- i. Create a self-serve way for the user to come to the website and buy the course online. The user should be provided with all relevant information such as course details, timeline, potential benefits, pricing etc for him to make an informed decision.

Metric to track -

The average number of users accessing the self serve functionality

The average number of users accessing self serve tool but not completing the checkout process

- ii. Launch additional help features on the Edureka website when a user needs help. A call me, contact me via email, or a chat feature should be built that the user can go to when he needs some additional information about the course, checkout etc

Metric to track -

% of users coming on the website accessing the additional help features

- iii. A new user is hesitant to buy the course the first time because he may not know much about the course or Edureka as a platform. Create a trial feature wherein the user may be able to try the course for some time/ some modules (maybe one 1-month free access) and then make an informed decision on whether to continue or leave the course. We should make the trial free for a few modules to explore.

Metric to track -

% of customers of those visiting the website who are availing of the trial feature.

% of customers who enroll for a full course after the trial version

- c. Add more options to deliver courses for the user. Provide an option of live sessions and pre-recorded sessions. In this method, students will have the option to choose from a live session / Pre-recorded session. This will be followed by small quizzes and tests and once it's done there will be an option for users to attend questionnaires' sessions and compare their results

Metric to track -

% of customers who are taking the pre-recorded courses vs live delivery courses

Qualitative survey from the customers on the delivery of the course

- d. Create a subscription model for the users. Users can either pay per course or buy a subscription for 1/3/6/12 months in which they would be able to take as many courses as possible by paying a monthly fee of \$100/ month. The longer a user stays on the platform, the higher the lifetime value. Also, Edureka doesn't have to spend money on ads/ leads for this customer as he is already on the platform.

Metric to track -

% of customers availing the subscription feature

% of customers who availed the subscription but canceled.

- e. Referral system - Edureka should introduce a referral system wherein current users are encouraged to refer more friends to Edureka. Example - A user who refers to a successful new user on the Edureka platform (the new user buys a course), gets a \$50 cash award. Hence the more users a person can refer to the more he can earn.

Metric to track -

% of existing customers giving out referrals

Number/% of new customers coming from referrals and converting to new customers

Experiments to run to validate hypothesis and determine which solution is better

Vertical thinking experiments:

The drop in Edureka lead conversion rate from 5% to 3% might be caused because of the following reasons (a hypothesis that we must test):

Hypothesis 1: The user does not provide the correct information (phone) on the lead hence that lead is not usable.

This can be tested by doing a deep dive on a statistically valid sample of failed leads to see whether this is a main contributing factor. If yes, then there could be mistake-proofing / poke yoke kind of solutions that can be added to make this feature more robust - for example, a lead is successful only once the user validates it through an OTP sent to the phone number shared by them

Hypothesis 2: User preference might not be aligned with the model wherein sales reps call a user to convert the lead.

In such cases, users might prefer to buy courses online without having to talk to a sales rep or just do not trust calls coming from random numbers. This can be tested by sending surveys (with some incentives such as coupons to get high response rates) to failed and successful leads. The surveys can ask users about their preferences which will prove to be valuable information for how the sales process is structured by Edureka. An A/B test with a self serve capability could also be designed.

Hypothesis 3: The sales reps need upskilling / training to convert users and increase the lead conversion rate.

This can be tested by listening to recordings of failed leads and doing a root-cause analysis to understand why the sales reps were unable to convert the leads. Potential reasons might include lack of knowledge on the courses being sold, lack of empathy, communication skills, lack of knowledge about competition which prevents the sales rep from being able to convince the users of Edureka's USP. Each of these problems would have very different solutions

Lateral thinking experiments:

Hypothesis 1: The customers are not happy with the content delivery method or its not standardized hence the customers don't return to the platform.

This can be tested by new methods of content delivery for a few courses and monitoring the feedback for these courses

Two methods should be tested:

Pre-recorded lessons vs Zoom / Online session

Computer adaptive learning and assignments similar to the GMAT test

Live 1x1 learning

Metric to track -

Engagement of the users on the two methods of delivery

Qualitative feedback/ survey on the two methods of deliver

As a different type of PM, what would you focus on and which one will you choose ?

Two types of PMs would be able to help build the new solutions we have identified above.

Growth PM - The Growth PM will focus on organic growth experiments that will help grow the number of customers in various segments below

1. Active Users - Customers who are already in the platform, seeking feedback in terms of how they like the course, top 1-2 things that they would like to remove, maintain & add to the course, Net Promoter score by which we can have referral workflows for promoters, and for Neutral users have a feedback session on why they are not giving a higher score.
2. New users - Understanding their expectations via customer cohorts or workshops, helping them with first user experience etc will go a long way in establishing their trust in the system & allowing for active usage.

Technical PM - The Tech PM will focus much on creating the technical platform through which new modes of instructions can be provided to the students

Where is the life cycle of the company? How will you change the lifecycle of the company?

Edureka is a company in its maturity stage because, despite a 66% rise in organic leads (30K to 50K) in the last 6 months, their revenue has only increased by 20% from 1 million to 1.2 million.

This could be attributed to various factors like

- The decline in quality of leads from the organic channels (High probability)
- Change in expectations of the customers (Medium probability)
- Change in the personas of the leads recently acquired. (Medium probability)
- Drop-in the engagement of the students due to quality of the course (High probability)
- Higher competition in the space (High probability)

To change the lifecycle of the company from Maturity (stagnant growth rate) back to a steady growth rate as a PM, the company should focus on identifying the root cause of low customer engagement through the various experiments described above. Then it should start building solutions that would increase the % of customers coming on the platform as well as increase the lifetime value of the customer. The company would have to rethink its existing strategies and pivot to new ways of thinking and executing. It would require a big shift in the management to adhere to the new experiment led thought process.

